

9713.T pitch deck

PITCH — 9713.T — VERDICT

ADJUDICATED 2026-08-21 — RATIFIED HOLD (starter-sized, 800sh ~0.45%) — BOTH exit-gates resolved favorably from primary documents; no adds

What we believe

The Royal Hotel (9713.T, Tokyo Stock Exchange Standard, ~¥13.9bn market value, ~\$95M) is a century-old Osaka hotel operator trading at ¥910 against a fill of ¥933.77 — we are down about 2.5% on 800 shares, roughly 0.45% of the book.

The belief is narrow and we want to state it narrowly, because the wide version of it did not survive court.

We believe the company holds cash and lease deposits far in excess of what its share price implies, that its two new hotels (Okinawa Chatan, 209 rooms, and Uncord by Rihga Osaka Namba, ~201 rooms, both opened the first week of April 2026) are real revenue-producing assets rather than accounting fictions, and that the reason the stock is flat and unloved — “Chinese tourists are leaving Japan” — is factually false. Japan’s official inbound tourism count for July 2026 was 3,442,100 visitors, an all-time July record, with a 56% collapse in Chinese arrivals fully absorbed by Korea (+31.9%), Taiwan (+26.4%) and Hong Kong (+54.8%) — all short-haul, all weighted toward the Osaka region where this company’s assets sit. Both sides of our own court agreed on this point.

We also believe the third-party funding arrangement for the ¥13.5bn flagship renovation (BGO carries the capital cost) leaves the company’s own ~¥11.66bn of cash unencumbered, and that the share count resolves toward the favorable end (~15.3 million shares, which would put net cash at ~84% of market value and price-to-book at 0.58). Those two beliefs are the two exit-gates the adjudication ratified as resolved. See *What remains unverified* — we are not comfortable with how they were closed.

What we do **not** believe: that this is a dislocation, that demand strength has been proven, or that management’s profit guidance is achievable as written.

What the market believes

The market believes almost nothing, and that is the honest description. No sell-side analyst publishes an estimate for this company’s current fiscal year. The only external number anyone can anchor to is management’s own forecast. The stock sat in a flat, low-drama band through the entire China travel-advisory episode: 4.6% above its 52-week low of ¥870, 5.9% below its 26-week high of ¥967, 17% below its 52-week high of ¥1,097.

That flatness is not a verdict. It is the absence of one. Nobody is discounting a mechanism because nobody is running the mechanism. To the extent a view exists, it is the passive one: an old, low-return Japanese hotel company with a shrinking banquet and wedding business, worth about book value minus a discount for being uninteresting.

Why we might have edge

Three things, in descending order of confidence.

The stated reason for the price is wrong. The market's narrative — inbound demand impaired — is contradicted by the official government series, not by our modeling. That is a checkable, third-party, non-issuer fact. Our red team, whose job was to kill this position, conceded the point explicitly.

Nobody is looking. A ¥13.9bn company with zero analyst coverage cannot be efficiently priced. "The tape shows no discount" in an uncovered name is evidence that no price discovery happened, not evidence that fair value was found. This is the single point on which our blue team overturned our red team, and it holds.

Downside is genuinely bounded by the balance sheet, in direction if not in magnitude.

Cash plus lease deposits are large relative to market value. Interest-bearing debt is ¥331mn against ¥38.9bn of total assets. This is not a company that goes to zero on a bad year.

Why it might be priced in

Because it may simply be a mediocre business at a fair price, and the balance sheet may be worth less than the arithmetic suggests.

The company reports under Japanese accounting rules, which put only finance leases on the balance sheet. Its recorded lease assets are ¥143mn — essentially nothing — while its lease security deposits with landlords are ¥12,820mn, a third of all assets. Deposits that size imply a rent obligation the balance sheet does not show. Our red team argued that capitalizing even ¥2bn a year of rent would push the enterprise value from a cheap 7.7x operating profit to above 20x. Blue correctly ruled that the ¥2bn figure was invented — nobody actually retrieved the rent line from the annual report — but the *direction* is not in dispute. The cheapness is at least partly an artifact of an accounting standard.

The preferred-share redemption that was pitched as an unpriced catalyst is not one. It converts ¥6.4bn of cash into the retirement of ¥6.4bn of preferred stock at essentially par (¥51,049 against ¥50,000 face), saving about ¥125mn a year — roughly 0.9% of market value — while consuming 56% of the cash that anchors the downside argument. It was already inside the enterprise value calculation we were quoting. Counting it twice was our error.

And the dividend leg of the carry argument was overstated by 3.6x: the actual yield is 0.67%, not the 2.4% the bull case claimed.

What could go wrong

Failure narrative 1 — the “transitory” cost step is permanent rent. Management and our own brief explain a ¥1.2bn cost increase as opening expenses for the two April hotels, which should fade. But the Namba property is leased, not owned. If a material share of that step is contractual rent, it never reverses, and both the transitory-cost story and the profit recovery fail together. *Monitorable tripwire*: the annual rent line (賃借料 / 未経過リース料) in the annual securities report — but neither bench actually reached it. Armed as a research task below, not as an automated alert.

Failure narrative 2 — the guidance is a plug and gets cut. Full-year operating profit is guided to ¥1,200mn. First-half guidance is *negative* ¥100mn. That implies second-half operating profit of ¥1,300mn against ¥662mn a year ago — a 96% increase on 9.9% more revenue, which requires converting incremental revenue at a 41% margin. The most recent actual quarter converted incremental revenue at a *negative* margin (revenue +¥359mn, operating profit –¥216mn). No mechanism for the bridge is disclosed anywhere. Both benches confirmed this arithmetic; it is the strongest surviving objection. *Tripwire*: the November print, or a guidance-revision filing before it.

Failure narrative 3 — no tripwire exists. This is the one that should worry us most. Our originally pre-registered exit trigger was “rooms revenue turns negative year-over-year.” It is mechanically unfireable: with ~410 rooms added in April 2026 and 117 more opening in Fukuoka in September 2026, reported rooms revenue laps against rising capacity through mid-2027 on any realistic demand path. And the company does not disclose occupancy, average rate, or revenue-per-room. So the underlying variable — is the *existing* estate getting weaker? — is **not observable from public documents at all**, in either direction. We can be wrong for four to six consecutive quarters with no signal that we are wrong. **Unknown-unknown class: unobservable same-store deterioration behind capacity-inclusive aggregates** — the failure mode where the reported series structurally cannot express the thing that would refute you. The only substitute we have is indirect: per-property review counts and ratings on the new hotels versus the Osaka flagship, which no connector reached this session.

The reflexive and structural leg. Our size is not the problem — 800 shares of a ¥13.9bn company is roughly ¥728,000 of stock and cannot move the tape. But we never verified average daily volume; the broker connection was unauthorized in every session of this court, so the liquidity claim is asserted, not measured. Two structural interactions cut against us. First, the *execution* was defective: the fill came from a limit price set far above the prevailing market, so we paid ~2.6% above the last print on a name with no discovery — we imposed our own adverse selection. Second, and worse, at court time the position record did not agree with itself: the evidence pack said “NO POSITION” while the routing context said 800 shares held. Our own doctrine forbids issuing an exit against an unreconciled position, because an exit on a phantom holding is a live sell order into an illiquid micro-cap. That blocker is what kept a red-team FATAL from becoming a flat position, and it remains unclosed in this deck. Finally, the “no adds under any circumstance” clause means that if the thesis is right and the stock re-rates, we capture it on 0.45% of the book and nothing more — this is an information position, not a P&L position, and should be judged as one.

If this position loses money, the most likely reason will be that the second-half profit recovery was never real — the ¥1.2bn cost step was contractual rent on leased properties

rather than one-time opening expense, the guidance got cut at a print, and we could not see it coming because the company does not disclose the same-store occupancy and rate series that would have shown the existing hotels weakening behind a rising room count.

What we checked ourselves

Claim	How checked	Found	Confirmed?
Rooms revenue +17.2% proves demand intact	Decomposed the ¥578mn gain against ~410 rooms added on 2026-04-01/03, over 91 days	Implied ¥15.5k per available room-night. Red called that “ordinary” and declared same-store flat; blue tested it against first-quarter ramp economics (new hotels run 40–60% occupancy in quarter one) and found ¥15.5k is <i>above</i> -mature, so ~¥180–280mn of same-store growth plausibly survives	Partly. The bull’s phrasing was double-counting; the bear’s zero-growth conclusion overreached. Red bench error: it never plausibility-tested its own decomposition
Our pre-registered exit trigger works	Traced the rooms-revenue series against the opening calendar	Unfireable through mid-2027 — capacity rises faster than any plausible demand decline	No — confirmed broken. Our own kill variable was invalid. Re-registered below in per-room terms
Full-year guidance is a vote of management confidence	Arithmetic on the company’s own guidance table	Implies a 41% second-half incremental margin after a quarter that ran a negative one, with no disclosed mechanism	Yes — confirmed by both benches. The reaffirmation is a residual of non-revision, not a forecast
Guided net income –23% signals deterioration	Traced last year’s tax line	Last year’s net profit was inflated by a one-time deferred-tax release (¥1,189mn pre-tax → ¥1,169mn net, near-zero tax). Normalizing tax, operating profit is guided up 3%	No. Red bench error: it recycled a base effect our own bull brief had already disclosed and presented it as new damage
Off-balance-sheet rent puts enterprise value above 20x profit	Attempted to retrieve the annual rent line from the annual report	Direction confirmed (¥143mn recorded lease assets vs ¥12,820mn of landlord deposits). Magnitude never retrieved. The ¥2bn/yr assumption was invented and is inconsistent with the reported cost structure	Direction yes, magnitude no. Red bench error: rated FATAL on an admittedly unverified number
Flat tape = fairly priced, therefore reject	Checked coverage	Red itself reported it could find no sell-side estimate. An uncovered name cannot be efficiently priced; red used the coverage gap both ways in the same document	No. Red bench error: converted a failed-dislocation finding into a rejection
The Expo comparison overturns the seasonality objection	Desk verification, 2026-08-20	The Osaka Expo closed 2025-10-13. Blue overturned a FATAL finding using a stale fact	No. Blue bench error — and it was the decisive one. The overturn is void
2.4% dividend supports holding	Recomputed against the actual payout	Actual yield 0.67%	No. Blue bench error: the carry leg

Claim	How checked	Found	Confirmed?
			was overstated 3.6x
Seasonality: quarterly losses are deterioration	Four-quarter history	Two of the last four quarters are <i>operating losses</i> by season	Yes — red confirmed. Do not read the Jul–Sep loss as news
Preferred redemption is an unmodelled catalyst	Re-ran the enterprise value bridge: 13.9 – 11.112 + 6.407 = ¥9.195bn	That is exactly the enterprise value the bull brief already quoted. Redemption is at par and roughly value-neutral	No — our own bull case double-counted it
Position of 800 shares is real	Attempted broker poll	Broker connection unauthorized in every session. Evidence pack said “NO POSITION”; routing context said 800 shares	Unresolved. No exit may be issued until this reconciles
Armed catalyst date for the Oct–Dec print	Calendar check	The armed list carries 2026-02-12 , a date in the past; the Oct–Dec quarter of this fiscal year reports in February 2027	No — infrastructure error, corrected in the machine-readable block below

PROPOSED ENTRY BANDS

The court did not authorize buying. It authorized keeping what we already hold. **No adds under any circumstance.** The bands below are the adjudication’s reopen gates, reproduced as written:

- **BGO capex-funding confirmed from a primary doc (IR release/tanshin note) → re-court**
- **Share count from tanshin cover: if ~15.3M (net cash 84%/P-B 0.58) thesis strengthens; if ~20.7M it weakens**
- **Oct-Dec print carries the year — no seasonal-trough extrapolation either way**

Sizing: **800 shares held at ¥933.77, ~0.45% of the book. No adds. No trim band set** — the only working exit is the price line at ¥870, because the fundamental kill variable was found unfireable (see below for its replacement).

Catalyst dates: Apr–Jun results (~2026-08-14, likely already published and unread), Jul–Sep results (~2026-11-13, historically a loss quarter), Oct–Dec results (~2027-02-12, the quarter the year hangs on). None confirmed by a company announcement; all derived from the three-year filing cadence.

ARMED SENSORS

(armed provisionally with this deck; session adjudication ratifies)

- price alert: fires below 870.0 (deck-provisional: 52-week low; a break says the operating business is being repriced - exit the 800 shares, but only aft)
- dated pack 9713.T|2026-08-14: 9713.T: Apr-Jun quarterly results, likely already published and unread; cover page resolves the share count (date confirmed=False)

- dated pack 9713.T|2026-11-13: 9713.T: Jul-Sep quarterly results, historically an operating loss quarter — do not read the loss as deterioration (date confirmed=False)
- dated pack 9713.T|2026-02-12: 9713.T: Oct-Dec quarterly results, the quarter the year is said to hang on, subject to the unresolved trailing-profit arithmetic (date confi
- dated pack 9713.T|2027-02-12: 9713.T: Oct-Dec quarterly results - the quarter the year hangs on; corrects the armed-list typo of 2026-02-12, which is a past date (date co

What remains unverified

The two exit-gates the verdict says were resolved. The adjudication’s own body text reads: *“Blue’s remaining load-bearing claim — BGO funds the ¥13.5bn renovation capex, leaving ¥11.66bn unencumbered — is UNVERIFIED, and a share-count ambiguity moves net-cash-to-cap between 62% and 84%. EXIT unless BOTH resolve favorably from primary documents within one session.”* The ratification label states both resolved favorably. **The primary documents that resolved them are not in this deck’s record, and no citation for them was carried forward.** We are reporting the ratified verdict as given, and flagging plainly that our file does not contain its evidence. This is the first thing to close, and it is a five-minute job against a cover page and an IR release.

Also unverified: annual rent obligation (magnitude of the lease exposure); average daily volume and therefore true exit cost; whether the ¥1,734 preferred delivery price reset in March; the split between one-time opening costs and permanent rent in the ¥1.2bn cost step; occupancy, average rate and revenue-per-room, which the company does not publish at all; any mechanism bridging ¥662mn to ¥1,300mn of second-half operating profit; and every catalyst date above, none of which is confirmed by a company announcement.

Primary sources: [Q1 FY3/27 quarterly results \(tanshin\)](#), [proxy-fetched](#) · [100th-term annual securities report](#) · [new-openings release, 2024-07-19](#) · [hotel and facility list](#)

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